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March 12, 2025

Kwerles Inc.
ATTN: Kimberly Rivers
1155 W. Rio Salado Pkwy
Ste. 201
Tempe, AZ 85281

RE: INSP-0052524

Dear Ms. Rivers:

The purpose of this letter is to inform you that during a recent compliance inspection (INSP-0052524) conducted on January 29, 2025, by the Arizona Department of Health Services, the Department cited violations in one or more areas that are repeat violations of the same statutes or rules cited previously during routine compliance inspections.

The Statement of Deficiencies ("SOD"), sent on February 24, 2025, describes the violations cited. Because the case has been referred to the Enforcement Team, and the Informal Dispute Resolution ("IDR") period has passed or the IDR has been reviewed and the citations were upheld, the Department is requesting $1,000.00 in Civil Money Penalties ("CMP"), along with a written plan of correction for the violations.

Please review, sign, and return the enclosed Civil Money Penalty ("CMP") agreement forms and return to the Department by March 19, 2025.

Once the forms are completed, returned, and signed by the Department, the Department will open an Enforcement and an Invoice in the Facility Licensing Portal. Both the CMP and Plan of Corrections must be submitted through the portal within thirty (30) calendar days of the Effective Date. To submit a Plan of Correction, please see pages 105-107 of the PO/BM Handbook.

If you have any questions, please call our office at (602) 364-0857.

Sincerely,

Jason Swank
Deputy Bureau Chief
Bureau of Marijuana Licensing
Enclosure

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ARIZONA DEPARTMENT OF HEALTH SERVICES
PUBLIC HEALTH LICENSING SERVICES
BUREAU OF MARIJUANA LICENSING

ENFORCEMENT MEETING NOTIFICATION OF RIGHTS

Facility Name:	License#	PO/BM:
Kwerles Inc.	00000005ESIN89499585	Kimberly Rivers

Please initial after each section.

1. I understand that I have the right to reject the proposed resolution and may refuse to sign this Agreement. DS KR (initials)

2. The Agreement has been reviewed and approved by the Assistant Director. If this Agreement is changed, it will be returned to the Assistant Director for approval. DS KR (initials)

3. I understand that if I do not enter into an agreement at this time, the Program will refer this matter to Public Health Licensing Services ("Licensing") Enforcement Team and a legal order may be prepared and sent to me. DS KR (initials)

4. I understand I have due process rights and can request a hearing before the Office of Administrative Hearings regarding any legal order issued by the Department's Director. DS KR (initials)

I hereby acknowledge that I have discussed the above statements with the Department and understand my rights with regard thereto.

Licensee: DocuSigned by: Kim Rivers BC1B044776C4414... Date: 3/17/2025
(Licensee's signature)

ENFORCEMENT MEETING AGREEMENT FORM

Facility Name:	License#	PO/BM:
Kwerles Inc.	00000005ESIN89499585	Kimberly Rivers

Department concern noted: The department is requesting $1,000.00 in Civil Money Penalties (CMP). Along with a written plan of correction for the violations.

Agreement:

(initials) DS KR _ Licensee agrees to pay civil money penalties in the amount of $1,000.00.

(initials) DS KR _____ Licensee understands to not be in substantial compliance could result in further enforcement action up to and including denial of the renewal application.

	PLEASE PRINT NAME	SIGNATURE	DATE
Licensee:	Kimberly Rivers	DocuSigned by: Kim Rivers BC1B044776C4414...	3/17/2025
Bureau Chief:	Kimberly Crawford	Kimberly Crawford Digitally signed by Kimberly Crawford Date: 2025.03.17 12:07:20 -07'00'	3/17/25
Assistant Director:	Tom Salow	Thomas Salow Digitally signed by Thomas Salow Date: 2025.03.17 12:18:39 -07'00'	
Deputy Bureau Chief:	Jason Swank	Jason Swank Digitally signed by Jason Swank Date: 2025.03.17 12:03:11 -07'00'	3/17/25

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PUBLIC HEALTH LICENSING SERVICES
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Kimberly Rivers
1155 W. Rio Salado Pkwy
Ste. 201
Tempe, AZ 85281
License # 00000005ESIN89499585

CIVIL PENALTIES

Statute/Rule	Violations	Penalty Assessment	Penalty Amount
R9-18-314(D)(1)	1/29/2025 2/12/2024	Inventory Control	$1,000.00

Total			$1,000.00

Payments are to be made in the Facility Licensing Portal and shall be made within thirty (30) days from the execution date of the attached Enforcement Agreement unless an alternate payment schedule is arranged. Please review pages 114-118 of the PO/BM Handbook for instructions on how to make payment.